

Daily Economic Briefing

Edition 5 · Friday, 21 August 2026 (Asia/Phnom Penh) · Covers: Thursday, 20 August 2026 full US session, close and after-hours, through approx. 20:15 ET Thu 20 Aug · Prepared for Alex · Market-wide, descriptive only — no portfolio or holdings commentary

Assumptions this edition: single normal-cadence session covered (no scheduler gap — the run fired once, ~9 minutes after its 00:00 UTC slot). One correction carried forward: the previous edition's log recorded Wednesday 19 Aug VIX close as 15.72; a verification pass this edition found the actual confirmed close was 14.89 (matching two independent sources), and 15.72 does not match any of Mon/Tue/Wed's confirmed prints — treated as a prior data error and corrected here. Jobless-claims consensus is corrected from an assumed 214K to the confirmed 210K.

60-Second Read

- Wall Street sold off across the board** — S&P 500 -0.87% to 7,641.16, Dow -1.32% to 52,759.21, Nasdaq Composite -1.00% to 26,067.17, Russell 2000 -1.33% to 2,992.43^[1] — reversing Wednesday's modest gain, on a wave of disappointing retail earnings and a Treasury bond-buyback plan that failed to hold down yields.
- Walmart plunged approx. 9.2%** to roughly \$103.60 after US comparable sales grew just 2.6% against an approx. 3.7–3.8% consensus, even as EPS and revenue both beat and soft Q3 guidance overshadowed a raised full-year outlook^{[2][3][4][5]}. **Advance Auto Parts collapsed approx. 24.6%** despite an EPS beat, as a revenue miss and "constrained" consumer-spending commentary dominated the reaction^{[6][7]} — together, the clearest same-day evidence that US discretionary spending is softening faster than headline earnings suggest.
- Moderna cratered approx. 24.5%**, unwinding nearly all of Wednesday's record +176.97% melanoma-data spike in one of the sharpest two-day reversals of the year — a short-covering unwind (approx. 12.5% of float was short) rather than new negative data^[8].
- The bond market didn't cooperate** with Treasury Secretary Bessent's rescue plan: despite a pledge to more than double long-bond buybacks, the 10-year yield rose 6bp to 4.71% and the 30-year pushed further into a roughly two-decade high, pressuring rate-sensitive stocks through the afternoon^{[9][10]}.
- Oil extended its Iran/Gulf-crisis rally** (WTI approx. \$86, Brent approx. \$94) as the UAE's suspension of ties with Iran and disrupted Strait of Hormuz shipping kept a geopolitical premium in place^[11]; separately, a approx. \$3.3bn crypto short squeeze lifted Bitcoin approx. 10% to approx. \$71,500 and pulled crypto-linked equities higher^[12].

1. Market Recap

Thursday reversed Wednesday's modest gain (S&P 500 had closed +0.2% at 7,707.98, its first gain in four sessions) and then some: all four major indices fell, led by the Dow's 1.32% drop^[1]. VIX rose to approx. 15.98 from a corrected Wednesday close of 14.89^[13] — note the correction above — while the term structure stayed in contango (VIX/VIX3M approx. 0.80, roughly the 93rd consecutive day of contango)^[14], consistent with a risk-off-but-orderly tape rather than acute stress. The session's damage was concentrated in single names tied to Thursday's earnings slate (Section 2) and in the bond-sensitive complex (Section 3), not a broad, indiscriminate de-risking.

2. Equities and Earnings

Walmart (WMT) -9.2% to approx. \$103.60 — the day's biggest index-moving story. FQ2 adjusted EPS beat at \$0.81 vs. \$0.74 consensus, and revenue beat at \$187.9bn vs. approx. \$186.75bn consensus, but US comparable sales grew just 2.6%, the slowest domestic comp growth in years, well short of the approx. 3.7–3.8% the Street wanted^{[2][3]}. Q3 EPS guidance of \$0.62–0.64 also missed the approx. \$0.68 consensus, even as full-year EPS guidance was raised to \$2.80–2.87^[2]. The decline accounted for roughly 13% of the Dow's point drop^[5] — the single clearest driver of the index-level weakness above. Read-across: a mega-cap long seen as recession-resistant is now signalling a genuine pullback in US household spending rather than mere mix-shift; watch Target, Costco and the dollar-store names on this same thread.

Advance Auto Parts (AAP) -24.6% — an even sharper reaction despite an EPS beat (\$1.03 vs. \$0.81 consensus). Revenue missed (\$2.0bn vs. \$2.04bn consensus), and FY guidance, while roughly in line with consensus at the midpoint, was framed around "constrained" DIY consumer spending^{[6][7]}.

Deere & Co (DE) +7.9% to \$626.38 — the session's standout beat-and-raise. Q3 EPS of \$5.10 topped the \$4.71 consensus, revenue beat at \$12.61bn vs. \$12.43bn, and FY2026 net-income guidance was raised to \$4.75–5.00bn^[15]. Construction & Forestry revenue grew 18%, tied explicitly to AI/data-centre infrastructure build-out — an industrial read-through to the AI capex theme, alongside a headline flagging that the core farm-equipment recovery is still pushed out to 2027^[16]. Paired with Walmart/AAP: AI-linked industrial capex is strong; consumer discretionary spend is not.

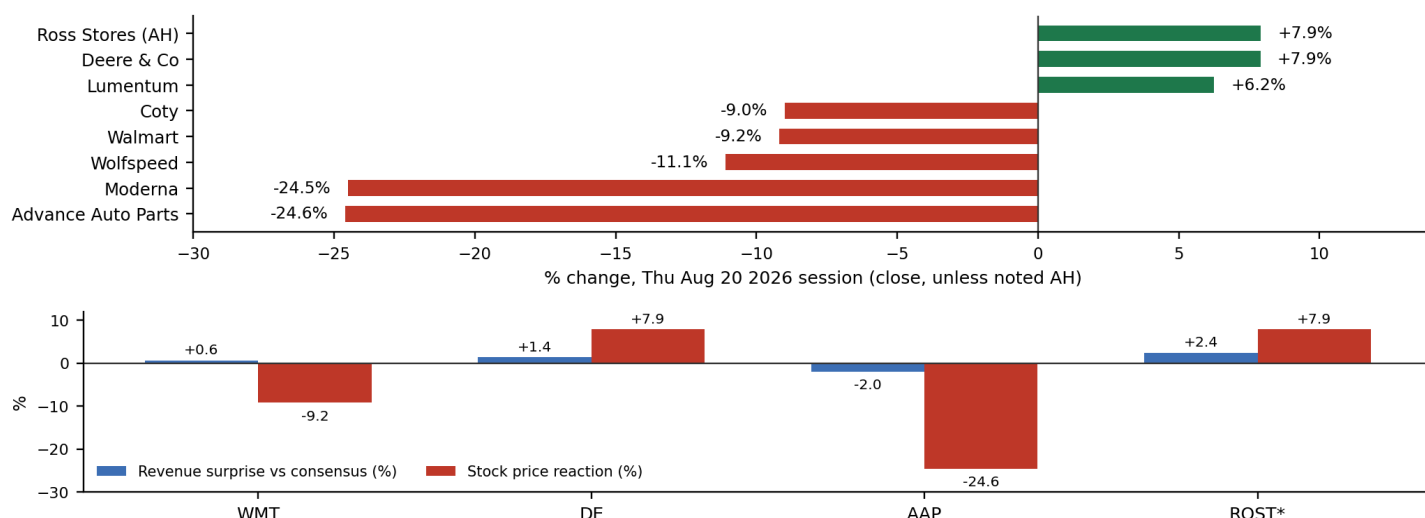
Ross Stores (ROST) +7.9% after hours — reported after Thursday's close. EPS of \$2.66 (including approx. \$0.60 from IEEPA tariff refunds) beat the \$1.94 consensus by 37%, on a strong +10% comparable-sales print driven by traffic, with Q3 and FY guidance both raised^{[17][18]}. We could not confirm a reliable after-hours dollar price against the stock's known trading range, so only the percentage move is published here pending confirmation.

Coty (COTY) approx. -9% — Q4 revenue of approx. \$1.3bn beat the approx. \$1.2bn consensus, but a non-GAAP EPS miss (-\$0.02 vs. -\$0.01 consensus) drove the stock lower^[19].

Elsewhere: Wolfspeed (WOLF) fell approx. 11.1% on wider-than-expected losses (driver not independently confirmable by cutoff); Lumentum (LITE) rose approx. 6.25% on AI-infrastructure demand commentary, a second data point (with Deere) for AI-linked capex strength. Boeing (-3.2%) and Dick's Sporting Goods (-6.9%) also declined intraday; we could not attribute a specific same-day catalyst to either by cutoff^[20]. Outside the core sector bias but too large to omit: Moderna (MRNA) fell approx. 24.5%, unwinding nearly all of Wednesday's spike in a short-covering-driven reversal^[8]; and a approx. \$3.3bn crypto short squeeze — Bitcoin +approx. 10% to approx. \$71,486 — lifted Strategy Inc (+9%), Coinbase (+6%) and Bitmine Immersion (+7%)^[12].

No official closing 11-sector table was obtainable by cutoff, a persistent gap noted in prior editions; intraday-only reads (not confirmed at the close, so directional only) showed energy as a rare gainer on the oil rally, with retail/consumer discretionary the session's weakest complex^{[1][5]}. Jobless claims, released pre-market, came in at 206,000 vs. a 210,000 consensus (corrected here from the 214,000 figure assumed in the prior edition's open-thread note)^[21]

[22], with continuing claims ticking up to 1.799mn; the claims beat did not visibly help the tape, whose direction was set by the earnings slate above and the bond market below.



3. Macro, Policy and Rates

Rates: the session's macro through-line was a bond-buyback plan that didn't hold. Bessent's pledge to more than double 10/20/30-year buyback operations (minimum \$4bn per operation, effective 9 September) briefly pulled global yields lower overnight and lifted Asian tech and government bonds^{[10][23]}, but US Treasuries reversed intraday: the 10-year yield rose 6bp to 4.71%, and the 30-year pushed further into territory near its highest level in roughly two decades^[9] — this, not the claims beat, was the principal macro driver of Thursday's equity weakness in rate-sensitive names.

Fed: no Fed speakers were on the calendar Thursday^[24]. September FOMC pricing was little changed from Wednesday's post-minutes read: CME-implied odds of a hike sit at roughly 31–35%, balance on a hold^[26]. We flag a persistent, unresolved disagreement across venues: Polymarket has recently priced hike odds meaningfully higher (approx. 53% in late July) than SOFR-futures-implied readings (approx. 32%), a gap we cannot resolve from public data^[27]. The Fed's H.4.1 release for the week ended 19 Aug had not posted by cutoff; the most recently confirmed data (week ended 12 Aug) showed reserve balances of approx. \$2.94tn, a Treasury General Account of approx. \$960bn, ON RRP of approx. \$355mn, and total assets of approx. \$6.76tn^[25].

Trade/geopolitics: Bessent escalated rhetoric on Iran, calling the planned measures "the greatest coordinated economic isolation in the history of the world" and stating the goal is to "collapse this regime"; Treasury separately designated ten individuals tied to Hezbollah for sanctions the same day^{[28][29]}. The comprehensive Iran sanctions package itself had still not been fully unveiled by cutoff — expect this as a lead item for Friday's edition. Separately, the three-day US pause on a threatened 50% tariff on Canada, agreed 18–19 Aug, remains unresolved with a Friday end-of-day deadline; Canadian officials describe a deal as close but "not done yet"^[30].

Day-ahead calendar (Friday 21 Aug): August flash PMIs for the US, eurozone and UK (consensus not yet published as of cutoff); the monthly, non-triple-witching options expiration flagged in Section 5 as a possible volatility catalyst; CFTC Commitments of Traders data (as of Tue 18 Aug), due approx. 3:30pm ET; and the Canada tariff-pause deadline above.

4. Commodities and FX

Oil: WTI traded in a approx. \$85.80–86.50 band Thursday, a modest continuation of Wednesday's rally to a four-week-high approx. \$85.83 settle; Brent rose to approx. \$93.91 (vendor-close, +2.5%)^{[11][31]}. The driver remains the deepening Gulf crisis: the UAE suspended all financial and economic ties with Iran on 19 Aug after renewed missile activity, and Strait of Hormuz shipping stayed disrupted (approx. 6 vessels/day vs. an approx. 10–11 average); President Trump maintains the Strait remains open, which Iran disputes^[11]. Neither the WTI nor Brent figure above is an exchange-confirmed settlement print — both are vendor closes, flagged in Annex A. Natural gas fell approx. 3.1% even as the week's EIA storage report showed a smaller-than-expected build (+16 Bcf actual vs. +23.3 Bcf consensus), a tension we could not reconcile from available sources^{[32][33]}.

Metals: gold rose to approx. \$4,545–4,582 (Comex, vendor-close; a genuine approx. \$33 cross-source discrepancy on Wednesday's base price means this range carries more uncertainty than usual, see Annex A)^{[34][35]}. Silver rose to a high-\$66 to high-\$68 range per two sources, though a third showed a decline — an unresolved directional disagreement^{[36][37]}. Copper traded approx. \$6.41–6.48/lb, comfortably below its confirmed 12 Aug Comex record of \$6.7140/lb, which still stands^{[38][39]}.

FX: the dollar index slipped to approx. 98.7–98.9, down from approx. 99.6–99.7 earlier in the week^{[40][41]}. USD/JPY held at 158.93 (+0.5%), still sub-160 with no fresh BoJ intervention reported Thursday; EUR/USD was little changed at 1.1677; GBP/USD rose to 1.3636; USD/CAD fell to 1.3788 as the loonie firmed on both tariff-pause optimism and the oil rally^[40].

5. Derivatives, Volatility and Positioning

VIX rose to approx. 15.98 (single-sourced vendor close, see Annex A) from a corrected Wednesday close of 14.89, still within a contango term structure (VIX/VIX3M approx. 0.80)^{[13][14]} — a modest pickup in hedging demand, not a stress signal. NVDA options continue to price a approx. 7% implied move into its 26 Aug print (weekly-straddle 6.46%, monthly-straddle 9.11%) against a approx. 2.8% average realized move over the trailing four quarters — essentially unchanged from the prior edition^{[42][43]}. No new CFTC Commitments of Traders data fell in this window; the next release (data as of Tue 18 Aug)

is due Friday afternoon^[44]. Funding was unremarkable: the ON RRP award rate held at 3.50% with take-up near zero (approx. \$0.32bn), and SOFR printed 3.62%^[45]. Friday's monthly options expiration is flagged by at least one derivatives-focused publication as a potential volatility catalyst: the current cycle is described as call-dominated/positive-gamma, meaning dealer hedging has been suppressing realized volatility into expiry, and volatility has risen in 6 of the last 7 comparable "gamma cliff" events historically^[46].

6. The Day Ahead

Friday 21 Aug brings: August flash PMIs for the US, eurozone and UK; the monthly options expiration flagged above as a possible volatility catalyst; CFTC Commitments of Traders data (as of Tue 18 Aug) due approx. 3:30pm ET; and the deadline on the US-Canada tariff pause, which could resolve to a finalized deal, a further pause, or the threatened 50% duty taking effect. Also watch for any fuller unveiling of the Iran sanctions package, and for confirmation of Thursday's VIX close and the Fed's week-ended-19-Aug H.4.1 release, neither of which we could verify by this edition's cutoff.

This Week's Known Catalysts

Date	Event	Consensus / Note
Fri 21 Aug	US, eurozone, UK flash PMIs (August)	Consensus not yet published as of cutoff
Fri 21 Aug	Monthly options expiration ("gamma cliff")	Flagged as a possible vol catalyst ^[46]
Fri 21 Aug, approx. 3:30pm ET	CFTC Commitments of Traders (data as of Tue 18 Aug)	No new data until this release
Fri 21 Aug, EOD	US–Canada tariff-pause deadline	Deal / further pause / 50% duty all live outcomes ^[30]
Ongoing	Iran sanctions package	Rhetoric escalated Thu; full package still not unveiled ^{[28][29]}
Tue 26 Aug	Nvidia (NVDA) earnings	Options price approx. 7% implied move vs. approx. 2.8% avg. realized ^{[42][43]}
Tue 26 Aug	July PCE inflation	Carried forward from prior editions' open-thread notes

Sector Setup We Take Into Friday

- **Consumer discretionary / retail:** bruised — Walmart and Advance Auto Parts both showed headline beats undercut by soft demand commentary; Ross Stores was the lone clean beat-and-raise in the group, reporting after Thursday's close.
- **Industrials / AI-capex-linked:** firm — Deere's Construction & Forestry strength and Lumentum's AI-infrastructure commentary both point to continued strength in AI-linked capital spending, a contrast with softening consumer spend.
- **Rates-sensitive equities:** still under pressure — the Treasury buyback plan has not durably capped long yields, and Friday's flash PMIs and gamma-cliff opex could add to intraday swings either way.
- **Energy:** supported by a geopolitical premium (Iran/UAE/Hormuz) that shows no sign of resolving; watch for any fresh escalation or de-escalation headline over the weekend.
- **Volatility:** still low and in contango (VIX approx. 16, VIX/VIX3M approx. 0.80) — Friday's opex is the nearest-term catalyst flagged for a potential regime change.

Annex A — Could Not Verify / Data Gaps

- Official closing 11-sector GICS table and closing market breadth (Thu 20 Aug) — unavailable; intraday sector-proxy colour used and labelled as such.
- Same-day (20 Aug) sell-side price-target revisions tied to Thursday's earnings (WMT, DE, AAP, ROST) — none found by cutoff.
- Exchange-confirmed settlement prices for WTI, Brent, and Comex gold (20 Aug) — only vendor-close data available (Investing.com / Trading Economics), not exchange "settled" press language.
- VIX Thursday closing print — single-sourced (Investing.com); CNBC, WSJ, Bloomberg and Yahoo's live blog were blocked or intraday-only at cutoff.
- Fed H.4.1 balance sheet, week ended 19 Aug — not yet posted by cutoff; last confirmed data is week ended 12 Aug.
- Gold's exact Wednesday 19 Aug base price — two sources disagreed by approx. \$33 (\$4,512 vs. \$4,545.30), propagating uncertainty into Thursday's figure.
- Silver's Thursday direction — two sources showed a gain (approx. +1.9%), one (Forbes Advisor) showed a decline (−1.6%); unresolved.
- VVIX, MOVE index, CBOE daily total put/call ratio, VIX9D/VIX6M numeric closes, dealer gamma/GEX — persistently unavailable (known limitation, unchanged from prior editions).
- August flash PMI consensus estimates (Fri 21 Aug release) — not yet published ahead of the release.
- Continuing-claims consensus (approx. 1.79mn) — single-sourced, not independently corroborated.
- Specific causes of intraday declines in Boeing (−3.2%) and Dick's Sporting Goods (−6.9%) — not attributable from available sources.
- Ross Stores' exact after-hours dollar price level — sourced figures looked internally inconsistent with the stock's known trading range; only the percentage move is published.
- **Correction carried in this edition:** the prior edition's log recorded Wednesday 19 Aug VIX close as 15.72; this matched none of Mon/Tue/Wed's confirmed prints (15.19 / 15.84 / 14.89) and appears to have been a data error, now corrected to 14.89.

Annex B — Sources

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Method note: every figure above is sourced and dated as shown; where sources disagreed, the more authoritative or better-corroborated figure was used and the disagreement disclosed in-line or in Annex A. No figure was estimated, inferred, or filled from memory. Research cutoff approx. 20:15–20:30 ET, Thursday 20 August 2026. Prepared by an automated research process; treat as a research aid, not investment advice.